

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 217.29		USD 42.43		-80.5%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	14.6% Discount rate (CAPM)	USD 42.43 -80% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 42.43, against a market price of USD 217.29 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 104%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong technology leader, but at USD 217 the market prices in unsustainably high growth and margin expansion that we do not expect to materialize.

Business quality: Strong · **Stock:** SELL — NVIDIA demonstrates robust operating margins expanding to over 60% by FY2025 and FY2026, reflecting strong competitive positioning and operational leverage in high-growth technology segments.

What the market prices in. The current share price implies first-year revenue growth of approximately 104%, decaying thereafter, and operating margins sustaining above 60%, reflecting overly optimistic expectations for near-term growth and profitability.

What we expect. We forecast a more conservative 20% revenue growth in year one with margins stabilizing at 36.2% in the terminal period, reflecting normalization after recent exceptional growth and margin spikes.

The gap. The market's expectation of rapid, sustained revenue growth and margin expansion significantly exceeds our base case, leading to a valuation roughly 80% above our intrinsic DCF fair value, indicating the stock is materially overvalued.

Why SELL

- 1 Reverse DCF shows market-implied revenue growth (~104%) is five times our forecast (20%), an unrealistic acceleration given recent 0% growth in FY2023.
- 2 Operating margins are expected to normalize to 36.2%, well below the 60%+ levels priced in by the market, reflecting competitive pressures and product cycle maturity.
- 3 Our probability-weighted scenario analysis yields a fair value near USD 50, underscoring downside risk versus the current price.
- 4 Management's forward-looking statements highlight significant execution risks and uncertainties around product development and market acceptance.
- 5 The blended target and Wall Street consensus are heavily skewed by bullish sentiment on AI and new product cycles, which may already be priced in.

Biggest catalyst. Quarterly earnings that show revenue growth and margin contraction below market expectations, triggering a re-rating downward.

Biggest risk. Faster-than-expected adoption of AI technologies and new product launches driving sustained revenue and margin expansion beyond our forecasts.

We would turn more positive if:

- Sustained revenue growth above 50% year-over-year for multiple quarters.
- Operating margins consistently exceeding 50% beyond FY2025.
- Successful commercialization and market penetration of new AI-related products like Blackwell and Vera Rubin.

We would turn more negative if:

- Revenue growth falling below 10% in upcoming quarters.
- Operating margins declining below 30% due to competitive pressures or product delays.
- Negative guidance or supply chain disruptions impacting production and sales.

The case against our view. The market may be correctly pricing in a structural shift driven by AI acceleration and NVIDIA's dominant position, which could sustain high growth and margins longer than our conservative estimates suggest.

BUSINESS OVERVIEW

NVIDIA's revenue is dominated by its Compute & Networking segment, driven by AI and accelerated computing, with concentrated customer exposure posing risks to sustainability.

NVIDIA generates the majority of its revenue from two operating segments: Compute & Networking and Graphics. In fiscal 2026, Compute & Networking accounted for \$193.5 billion of the \$215.9 billion total revenue, or roughly 90%, while Graphics contributed \$22.5 billion [1]. This heavy skew towards Compute & Networking indicates that NVIDIA's business model is increasingly reliant on data center and AI-related products rather than traditional graphics solutions. The sustainability of this revenue mix depends on continued demand for AI and accelerated computing platforms, which currently drive growth but could be disrupted by technological shifts or competitive pressures in the data center market.

The Compute & Networking segment's growth is fueled by major platform shifts such as accelerated computing and AI, with Data Center computing revenue up 59% and networking revenue up 142% year-over-year, driven by products like the Blackwell platform and NVLink fabric [4][5]. This suggests NVIDIA's core business is capitalizing on structural trends in AI adoption and cloud infrastructure expansion. However, the segment's concentration among a few large direct customers—one representing 22% and another 14% of total revenue in fiscal 2026—introduces customer concentration risk that could impact revenue stability if these relationships weaken [4][6][8].

Graphics revenue, while smaller, also grew significantly (41% year-over-year in fiscal 2026) due to demand for the Blackwell architecture in gaming and professional visualization markets [3][4]. This diversification into high-performance graphics supports NVIDIA's broader ecosystem but remains a smaller contributor to overall revenue. The segment's growth may be constrained by supply chain issues and competitive dynamics in gaming hardware, limiting its ability to offset any volatility in Compute & Networking.

Geographically, NVIDIA's revenue is heavily weighted towards customers headquartered in the United States (approximately 69% in fiscal 2026), with Taiwan and China representing smaller shares [2][6]. Notably, much of the Taiwan Data Center revenue is ultimately attributed to U.S. and European end customers, underscoring NVIDIA's dependence on Western markets for its core business. This geographic concentration could expose NVIDIA to geopolitical risks and supply chain disruptions, which may challenge the persistence of current revenue levels.

- Compute & Networking segment generated \$193.5 billion in fiscal 2026, about 90% of total revenue, showing heavy reliance on data center and AI products [1].
- Data Center networking revenue grew 142% year-over-year, driven by NVLink and Ethernet platforms, indicating strong demand for AI infrastructure [4][5].
- Two direct customers accounted for 36% of total revenue in fiscal 2026, highlighting significant customer concentration risk [4][6][8].
- Graphics segment revenue grew 41% year-over-year to \$22.5 billion, driven by Blackwell architecture, but remains a smaller revenue contributor [1][3][4].
- Approximately 69% of revenue is from U.S.-headquartered customers, with Taiwan and China making up smaller portions, exposing NVIDIA to geographic concentration risks [2][6].

What it means. NVIDIA's business model is increasingly centered on AI-driven Compute & Networking products with concentrated customer and geographic exposure, which supports strong growth but also introduces risks that investors must monitor.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77
- [2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [5] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.27
- [6] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [8] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22

FINANCIAL PERFORMANCE

NVIDIA's fiscal 2026 financial surge reflects AI-driven demand but margin pressures and rising costs may temper future profitability.

NVIDIA's revenue jumped 65% to \$215.9 billion in fiscal 2026, propelled by a 68% increase in Data Center sales and strong growth across Gaming, Professional Visualization, and Automotive segments, driven primarily by accelerated computing and AI platform shifts [1][3]. This surge indicates the company's successful capture of expanding AI workloads and diversified market penetration. However, sustaining such rapid revenue growth depends on continued AI adoption and overcoming supply constraints, especially in Gaming where supply headwinds are expected to persist into fiscal 2027 [3].

Gross margin declined by 3.9 percentage points to 71.1% in fiscal 2026, reflecting a strategic transition from Hopper HGX to Blackwell full-scale datacenter solutions and a significant \$4.5 billion charge related to H2O excess inventory and purchase obligations [1][4][8]. This margin contraction signals that while NVIDIA is investing in next-generation architectures, cost pressures and inventory management challenges are weighing on profitability. The persistence of these margin pressures hinges on the company's ability to optimize product mix and manage inventory without further large write-downs.

Operating expenses rose 41% to \$23.1 billion, driven by higher compensation costs from employee growth and increased compute and infrastructure spending to support new product development [1][5][7]. This escalation in operating costs underscores NVIDIA's commitment to innovation and scaling but also compresses operating leverage. The sustainability of operating margins will depend on balancing investment in growth initiatives with cost discipline as competitive and supply chain dynamics evolve.

NVIDIA's net cash from operations surged to \$102.7 billion, a 60% increase year-over-year, reflecting strong cash generation despite higher capital expenditures and financing outflows [2][6]. Robust free cash flow provides financial flexibility to fund R&D; and strategic initiatives, supporting long-term growth. However, maintaining this cash flow momentum requires continued revenue expansion and effective working capital management amid evolving market conditions.

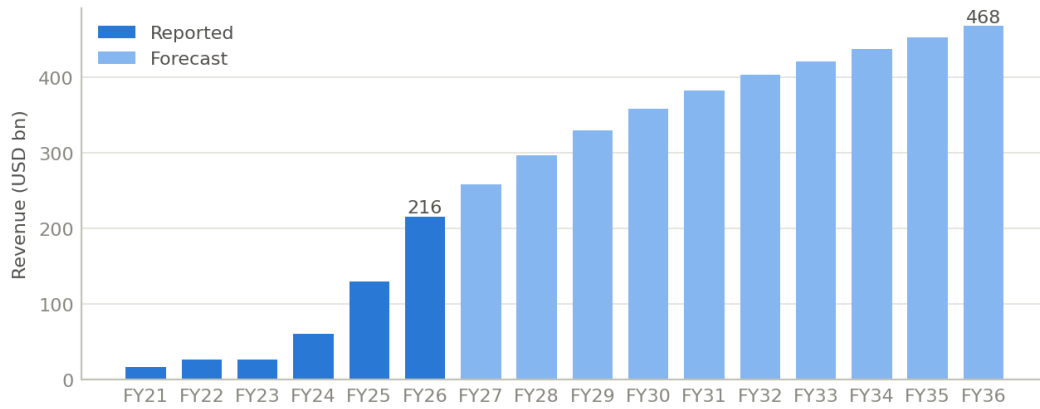
- 65% revenue growth to \$215.9 billion driven by AI and accelerated computing indicates strong market demand but depends on sustained AI adoption [1][3].
- Gross margin fell 3.9 points to 71.1% due to product mix shift and a \$4.5 billion inventory charge, pressuring profitability [1][4][8].
- Operating expenses increased 41% to \$23.1 billion, reflecting higher compensation and infrastructure costs, which may limit margin expansion [1][5][7].
- Net cash from operations rose 60% to \$102.7 billion, enhancing financial flexibility to invest in growth despite rising costs [2][6].
- Gaming revenue grew 41% but faces supply constraints in fiscal 2027, potentially capping near-term growth in this segment [3].
- Inventory provisions increased to \$7.2 billion, highlighting ongoing risks in inventory management that could impact future margins [8].

What it means. NVIDIA's strong revenue and cash flow growth validate its AI-driven strategy, but margin compression and rising costs introduce risks that investors must monitor for sustained profitability.

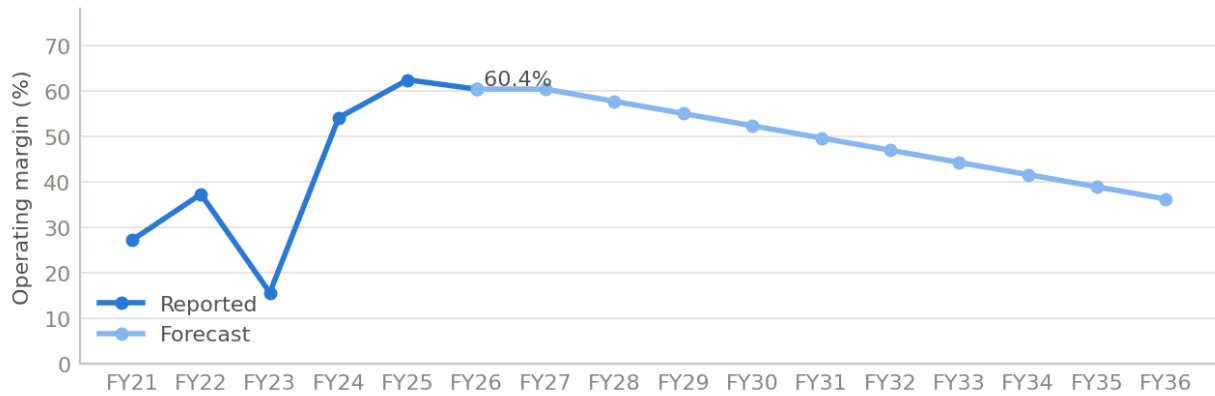
Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [5] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [7] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

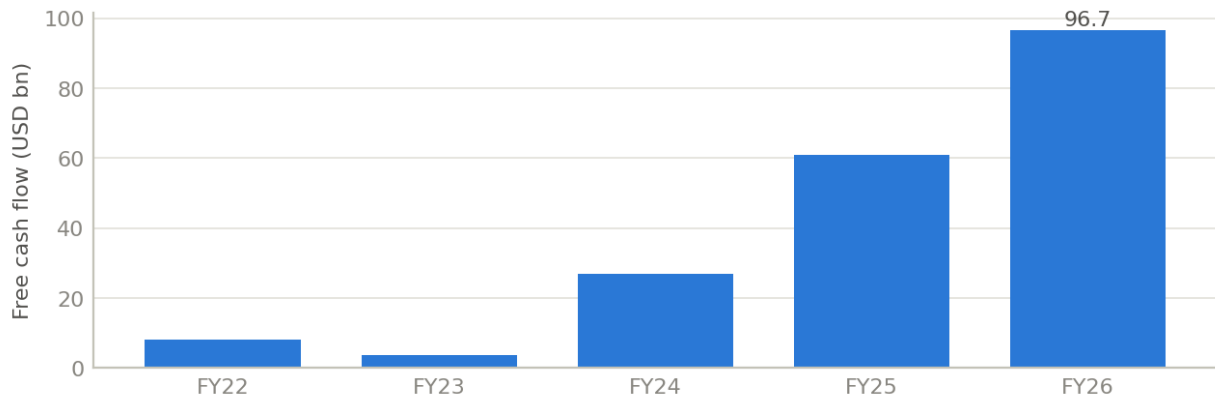
Revenue: reported and forecast



Operating margin



Free cash flow



Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by AI platform adoption and product transitions, but supply chain and architectural shifts pose ongoing risks to execution and margins.

NVIDIA's fiscal 2026 revenue surged 65% year-over-year to \$215.9 billion, propelled by accelerated computing and AI platform shifts, with Data Center revenue up 68% and Gaming up 41% due to Blackwell demand [1]. This indicates that NVIDIA's AI-centric product portfolio is successfully capturing market share across key segments, validating its strategic pivot towards AI workloads. However, the sustainability of this growth depends on the company's ability to manage supply constraints and product transitions without disrupting customer adoption or incurring excessive inventory costs.

The company is navigating complex product architecture transitions across Data Center, Gaming, Professional Visualization, and Automotive segments, introducing new platforms annually to meet AI demand [2][3]. While this cadence supports innovation and market leadership, it also introduces volatility in revenue and margins due to qualification delays, channel inventory adjustments, and potential quality issues. These challenges are likely to persist given the accelerated launch cycles and increasing product complexity, requiring disciplined execution to avoid erosion of financial performance.

NVIDIA's investment in U.S.-based manufacturing and supply chain expansion aims to mitigate production bottlenecks but faces risks from ecosystem capacity and scaling delays [2][3]. Supply-demand mismatches have historically caused both shortages and excess inventory, negatively impacting margins and revenue timing [5]. The company's strategic inventory build and purchase commitments signal confidence in demand visibility, yet the risk of misaligned forecasts remains a critical factor that could disrupt growth momentum if not carefully managed [4].

Emerging growth drivers include the expansion of Physical AI applications in automotive and robotics, exemplified by the Alpaymo platform and partnerships with major OEMs and industrial players [4]. This diversification beyond traditional GPUs into AI reasoning models and digital twins opens new large addressable markets, potentially sustaining long-term revenue growth. However, realizing this potential hinges on widespread adoption and integration of these advanced AI solutions, which may face adoption lags and competitive pressures.

- 65% revenue growth in fiscal 2026 driven by AI and accelerated computing confirms strong market demand but depends on managing supply constraints [1].
- Annual product architecture transitions increase innovation pace but create revenue volatility and margin pressure risks [2][3].
- Investment in U.S. manufacturing aims to alleviate supply bottlenecks but scaling challenges could delay meeting demand [2][3].
- Inventory and purchase commitments increased strategically to secure supply, reflecting confidence but also risk of demand misestimation [4].
- Physical AI expansion in automotive and robotics introduces new revenue streams, contingent on adoption and ecosystem development [4].

What it means. NVIDIA's growth is anchored in AI-driven platform adoption and product innovation, but investors should monitor supply chain execution and transition risks that could affect near-term revenue and margin stability.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16
- [3] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.35
- [4] Q42026 Quarterly Report - Corrected Transcript - p.6
- [5] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.15
- [6] Q42026 Quarterly Report - Corrected Transcript - p.6
- [7] Q32026 Earnings Release (8-K) - p.5
- [8] Q22026 Earnings Release (8-K) - p.5

COMPETITIVE POSITION

NVIDIA faces intense competition and geopolitical constraints that challenge its market share but its innovation and supply chain strategies provide partial resilience.

NVIDIA operates in highly competitive markets with rivals possessing greater manufacturing capabilities, broader IP portfolios, and deeper financial resources, including AMD, Intel, and large cloud providers like Amazon and Microsoft [1][2]. This competition pressures NVIDIA's pricing and demand, forcing it to invest heavily in product innovation and supply chain management. The sustainability of NVIDIA's competitive position depends on its ability to continuously anticipate customer needs and deliver high-quality, differentiated products at competitive prices. However, competitors' scale and vertical integration could erode NVIDIA's market share if it fails to keep pace.

The company's fabless manufacturing model relies on third-party foundries such as TSMC and Samsung, which introduces risks related to supply constraints and long lead times, sometimes exceeding 12 months [1][5][7]. NVIDIA mitigates this by

securing long-term supply agreements and paying premiums, but these actions increase costs and may not fully guarantee capacity during industry-wide shortages. This supply chain vulnerability could persist given global semiconductor demand volatility and geopolitical tensions, potentially limiting NVIDIA's ability to meet market demand and maintain competitive pricing.

Geopolitical factors, particularly export controls restricting NVIDIA's access to China's data center market, materially weaken its competitive position by ceding ground to rivals who can operate there [3][4]. This exclusion not only reduces NVIDIA's addressable market but also allows competitors to build larger ecosystems and developer bases, which could have lasting adverse effects on NVIDIA's global market share. The durability of this disadvantage hinges on changes in export regulations or successful development of compliant products, both of which remain uncertain.

NVIDIA's competitive moat is also challenged by customers with internal development capabilities and cloud providers designing their own AI hardware, which could substitute NVIDIA's offerings [1][2]. This trend may intensify as AI adoption grows, potentially reducing NVIDIA's pricing power and market penetration. Sustaining its position will require continuous innovation and ecosystem development to maintain customer reliance on its platforms.

- Competitors with fabrication facilities and larger IP portfolios pose a persistent threat to NVIDIA's market share [1].
- Long manufacturing lead times over 12 months increase costs and risk supply-demand mismatches [1][7].
- Export controls effectively exclude NVIDIA from China's data center market, benefiting competitors [3][4].
- Cloud providers and customers developing in-house AI hardware increase substitution risk [1][2].
- NVIDIA's reliance on third-party foundries exposes it to supply chain constraints despite long-term agreements [5][7].

What it means. NVIDIA's competitive position is under sustained pressure from rivals' scale, supply chain risks, and geopolitical barriers, requiring vigilant innovation and strategic supply management to protect growth prospects.

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14
- [2] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [3] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [4] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.39
- [5] FY2026 Annual Report (10-K) - Item 1 -Business - p.8
- [6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.38
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

OUTLOOK

NVIDIA's aggressive share repurchase program signals strong capital return focus but depends on sustained cash flow and market conditions.

NVIDIA repurchased 282 million shares for \$40.4 billion in fiscal year 2026 and received Board approval for an additional \$60 billion in share repurchase authorization without expiration as of August 26, 2025 [3][4]. This substantial capital return effort indicates management's confidence in the company's cash generation and a strategic choice to enhance shareholder value by reducing share count. However, the continuation of this program depends on maintaining robust operating cash flow and favorable market conditions, as repurchases may be suspended at management's discretion.

The company paid \$974 million in cash dividends during fiscal year 2026, with quarterly dividends around \$244 million, reflecting a commitment to returning capital through dividends alongside buybacks [3][4]. While dividends are subject to Board approval each period, the steady increase suggests a growing emphasis on shareholder income. This dividend policy is sustainable only if NVIDIA continues generating sufficient free cash flow and does not face significant capital expenditure demands or liquidity constraints.

NVIDIA's repurchase program is designed to offset dilution from employee equity compensation, with net share settlements withholding 26 million shares valued at \$3.4 billion in the first half of fiscal 2026 [1][8]. This approach helps manage share count effectively, supporting earnings per share growth. The sustainability of this strategy hinges on ongoing equity-based compensation levels and the company's ability to deploy excess capital efficiently without compromising operational needs.

The 1% excise tax on certain share repurchases mandated by the U.S. Inflation Reduction Act of 2022 has not materially impacted NVIDIA's repurchase costs to date [1][2][3][4][6]. While currently negligible, this tax introduces a slight cost consideration that could influence the scale or timing of future repurchases if regulatory or tax conditions change. Management's flexibility to suspend repurchases provides a buffer against such external factors.

- 282 million shares repurchased for \$40.4 billion in fiscal 2026 indicates aggressive capital return strategy.

- Additional \$60 billion share repurchase authorization granted without expiration shows long-term commitment to buybacks.
- \$974 million dividends paid in fiscal 2026 reflect growing emphasis on shareholder income alongside buybacks.
- 26 million shares withheld for tax on employee equity compensation helps control dilution and supports EPS growth.
- 1% excise tax on repurchases has been immaterial so far, minimizing impact on capital return costs.

What it means. NVIDIA's substantial and flexible capital return program enhances shareholder value but requires sustained cash flow and favorable market conditions to persist.

Sources cited above.

[1] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30

[2] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28

[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43

[4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41

[5] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36

[6] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31

[7] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37

[8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.38

KEY RISKS

The risks most material to the investment case, ranked by how much damage each would do — not by filing order. Each carries what it hits, what it does to our fair value, and the single indicator to watch for it starting.

Risk	Likelihood	Financial impact	Valuation impact	What to watch
Customer Concentration Risk Loss or reduced purchases from top customers representing over 35% of total revenue would sharply reduce sales and operating leverage in the Compute & Networking segment.	Medium	Potential loss or significant reduction in revenue from customers accounting for 36% of total revenue in FY2026, primarily in Compute & Networking segment.	Could push fair value down from base case \$42.43 toward bear case \$21.64 (-49% from base case), reflecting impaired revenue and margin outlook.	Quarterly revenue contribution from top 2 customers falling below 30% of total revenue.
Export Controls and Licensing Restrictions Ongoing or expanded US export controls limit sales to key customers and geographies, reducing addressable market and forcing costly transitions or lost sales.	High - current and expanding	Could reduce revenue growth in high-margin Compute & Networking segment by 20-30%, given reliance on restricted markets and customers.	Could reduce intrinsic value by up to 40% from base case (\$42.43 to ~\$25), reflecting constrained growth and margin pressure.	Decline in revenue from customers or regions subject to US export controls reported quarterly.
Partner Channel Disruption System integrators and channel partners failing to meet complex design specs or altering purchasing patterns could delay or reduce product sales.	Medium	Potentially impacts up to 30% of revenue derived through indirect channels, causing delayed or lost sales and margin compression.	Could reduce fair value by 20-25% from base case, lowering it by ~\$8-10 per share.	Increased inventory days or delayed shipments reported by key system integrators or distributors.
Customer In-House Solution Development Key customers developing their own GPU or AI solutions could reduce NVIDIA's product demand and market share.	Low to Medium	Could erode revenue growth in Compute & Networking segment by 10-15% over medium term.	May reduce fair value by 10-15% from base case, a \$4-6 per share downside.	Public announcements or increased R&D; spending by major customers on internal GPU/AI hardware.
Order Volatility and Cancellation Flexibility Customers' ability to cancel or delay orders without penalty creates revenue timing uncertainty and potential shortfalls.	Medium	Could cause quarterly revenue swings of 10-15%, impacting cash flow predictability and operating margin stability.	Could reduce valuation by 10% from base case due to increased risk premium, about \$4 per share.	Rising percentage of order cancellations or delayed shipments disclosed in quarterly earnings.

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 42.43	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 235.61 (+8.4% vs price). Reconciled from USD 42.43 to USD 300.00 across sources.

WHAT IS PRICED IN

A DCF whose fair value sits below the price is easy to dismiss as the model being wrong. Inverting it is harder to dismiss: holding every other driver at our base case, we solve for the level of each one that would return today's price of USD 217.29. Each row is a single, checkable claim about what the market must believe — judge it against the company's own history.

Driver	Our base case	Priced in at USD 217.29	Gap
Revenue CAGR (10-year)	8.0%	32.4%	+24.3pp
Operating margin (mature)	36.2%	—	—
FCF margin (mature)	30.0%	—	—
Terminal growth	2.5%	13.0%	+10.5pp

Operating margin (mature). Even a 100%-of-revenue operating margin — the theoretical ceiling — does not reach the price; it cannot be justified on margin alone.

FCF margin (mature). Even at zero capital spending — the ceiling on cash conversion — the implied cash margin cannot reach the price.

Terminal growth. Above long-run GDP growth — it implies the company outgrows the economy forever.

Read together, these are what the price assumes if the market is right about everything else. A gap the company has never closed in its own history is the risk in owning it here; a dash means the price cannot be reached on that lever alone.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	259.1bn	20.0%	60.4%	123.0bn	107.4bn
FY2028	297.3bn	14.8%	57.7%	137.1bn	104.4bn
FY2029	330.3bn	11.1%	55.0%	147.0bn	97.6bn
FY2030	358.4bn	8.5%	52.3%	153.1bn	88.7bn
FY2031	382.4bn	6.7%	49.6%	156.0bn	78.9bn
FY2032	403.2bn	5.4%	47.0%	156.2bn	68.9bn
FY2033	421.6bn	4.6%	44.3%	154.4bn	59.4bn
FY2034	438.2bn	3.9%	41.6%	150.9bn	50.7bn
FY2035	453.6bn	3.5%	38.9%	146.1bn	42.8bn
FY2036	468.1bn	3.2%	36.2%	140.3bn	35.9bn

SEGMENT FORECAST: A BOTTOM-UP CROSS-CHECK

The headline DCF grows total revenue top-down. This forecasts each reportable segment on its own trajectory and sums them, as a check on that single blended number. The headline valuation is unchanged; this is the stress-test on its central assumption.

Segment	Revenue FY2026	Yr-1 growth	10y CAGR	Revenue FY2036
Compute & Networking	193.5bn	66.5%	21.9%	1.4tn
Graphics	22.5bn	57.0%	19.1%	129.2bn
Bottom-up total	215.9bn	-	21.6%	1.5tn

The reported segments sum to USD 215.9bn, within 0% of total revenue — a clean bottom-up build. Summed bottom-up, the segments imply a 22% total CAGR — 14pp above the 8% our top-down DCF assumes. That gap is where the growth debate on this name actually sits.

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	2.0%	24.2%	2.0%	16.1%	USD 21.64	-90%	25%
Base case	20.0%	36.2%	2.5%	14.6%	USD 42.43	-80%	50%
Bull case	40.0%	48.2%	3.0%	13.1%	USD 93.27	-57%	25%

Probability-weighted value USD 49.94 (-77.0% vs price). Range USD 21.64 to USD 93.27, a spread of 169% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 2%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 16.1% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 20% decaying toward 2.5%, a terminal margin of 36%, discounted at 14.6%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 40%, margins recover toward 48%, and an easing risk premium lowers the discount rate to 13.1%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

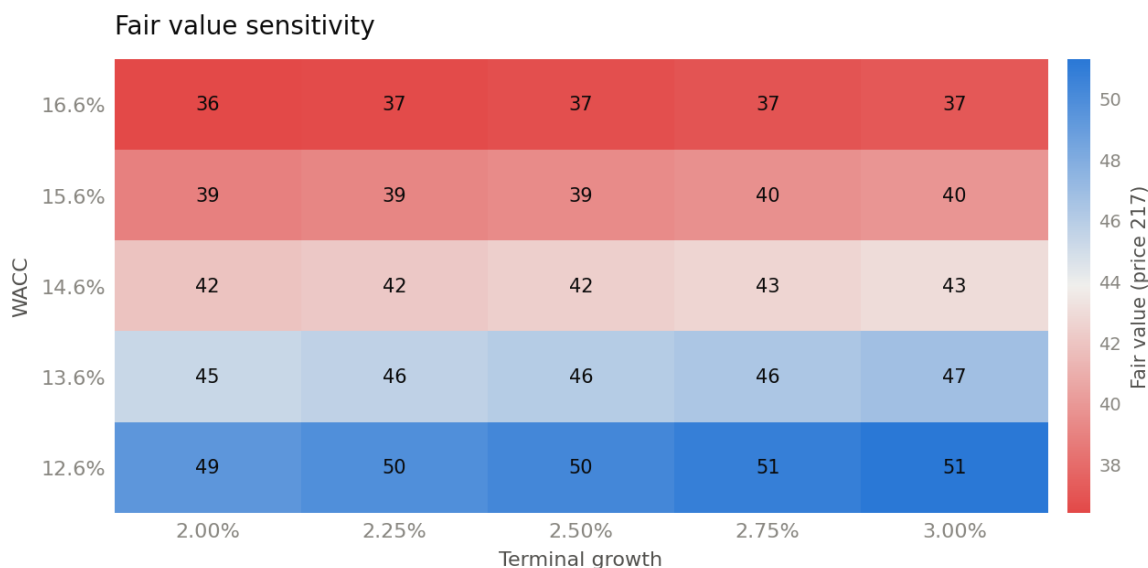
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted (0.67 x 2.21 + 0.33 x 1.00) = 1.81
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026

Assumption	Value	Basis	Derivation
Cost of equity	14.6%	Derived from filings	CAPM: 4.65% + 1.81 x 5.50%
Pre-tax cost of debt	6.2%	Standard default	Risk-free 4.65% + 1.5% investment-grade spread
WACC (discount rate)	14.6%	Derived from filings	100% equity x 14.63% + 0% debt x 6.15% x (1 - 13%)
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	20.0%	Model estimate (bounded)	Model estimate 20%, bounded to [2%, 65%] from reported growth of 65%
Terminal operating margin	36.2%	Model estimate (bounded) (bounded)	Model estimate 30.0%, normalised down from today's 60.4%; kept within a maturity band of [36.2%, 62.4%] (floor 60% of current, ceiling the demonstrated peak)
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	756.7bn	118.2x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.7tn	60.0x	44.0x	24.6x
Intel Corporation (INTC)	482.7bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	168.6bn	18.6x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	30.6x	4.7x	3.3x

Implied value applies the peer median P/E of 45.3x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 300.00) sits 607% above our intrinsic DCF (USD 42.43). The blended value reconciles the two; read it as a triangulation, not a precise number.

- At USD 217.29 the price sits above even the bull case (USD 93.27); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 169% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 36.2% (estimate was 30.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quatr/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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